Office for Budget Responsibility

October 2026 *Economic and fiscal outlook*

Speaking notes for presentation[1] by:

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Fiscal context

- IMF data shows that in 2006 the UK had net debt of around 40% of GDP, close to the average of other advanced economies and well below the average of other G7 economies.

- In the subsequent two decades, the UK's net debt has risen significantly to now be above the average of other G7 countries.

- And after the rise in borrowing in the pandemic, countries have been trying to get borrowing down.

Major economic developments since March

- That's the fiscal context over the last couple of decades. But now, let's look at the major economic developments since our last forecast in March.

- Since March, there have been several adverse developments:

    - First, energy prices have risen significantly. The blue line in this chart shows that oil prices at the time we produced the forecast were expected to be significantly higher than the yellow line of

[1] As prepared for delivery.

our March forecast in the near term and slightly higher in the medium term.

  - There have also been similar developments with gas prices since March.

  - And energy prices have risen even further since we took market pricing for this forecast. In recent days, they have been around the top of the swathes in the charts which show the range since the Middle East conflict.

- Interest rates as implied by market pricing are also significantly higher than at the time of our March forecast.

- And gilt yields are up across all maturities compared to our March forecast. Since we took market pricing they have continued to be volatile, but remain at around the same level as when we closed our fiscal forecast.

GDP and inflation forecasts

- The rise in energy prices and interest rates since March has led to a deterioration in the near-term economic outlook.

- This includes weaker GDP growth and higher inflation:

  - In 2027, we now expect GDP growth of around 1%, down from about 1½% back in our March forecast.

  - And we anticipate that CPI inflation will be around 3½% rather than falling back to 2%.

  - But in 2028 CPI inflation returns to target – about a year later than we expected in March.

- And we expect that the level of real GDP will move back to our March forecast by 2030.

RHDI

- As you can see, real household disposable income per person has recovered from the fall in the aftermath of the pandemic and 2022 energy price spike. And, in March, we expected it to grow gradually in each year of the forecast.

- We now expect RHDI per person to fall this year before recovering. By 2029-30, a decade after the pandemic, we expect that it will be only 1 per cent above pre-pandemic levels.

- What's driving that weakness? This is what economists call a negative terms-of-trade shock – a way of saying that what we like to buy from other countries has got more expensive, so our real incomes have fallen.

Fiscal developments since March

- Let's turn now to the fiscal implications of these economic developments. What's happened since March?

    - The blue bars show that receipts are up, much of which is due to higher inflation increasing the forecast for earnings and profits, which drive personal and corporate taxes.

    - But green borrowing costs are also up – compared to March, debt interest is forecast to be £14 billion higher on average in each forecast year.

- And then yellow non-debt interest spending rises – a large part of which is driven by higher welfare payments indexed to inflation.

- This adds up to an average of an extra £11bn per year of increased borrowing before reflecting any policy announcements from the government.

Policy decisions at the Budget

- All of that is on a pre-measures basis – so before new policy decisions that the Government has made since March. But now for policy. What has the Government decided to do? Two key points:

  - In the near term, the total effects of the Government's decisions are to increase borrowing by an average of around £5 billion a year in each of the next three years.

  - The total effect of Government policies then reduce borrowing by an average of around £3 billion per year in each of the subsequent two years, rising to £9 billion in the final year of the forecast.

- Where does that leave borrowing reflecting the impacts of new Government policy since March?

  - That's the white diamonds, which tells you borrowing rises in all years relative to March plans by an average of £13 billion per year.

  - And the white diamonds are close to the green bars. This tells you that the increase in borrowing in each year relative to what we expected in March is broadly equivalent to the increased debt interest spending. This is because the other changes to the

forecasts for receipts and spending, much of which are driven by higher inflation, are broadly offsetting.

Fiscal outcomes

- What does this mean for the forecast path of borrowing?

- Let me show you the planned paths of borrowing in the last few Budgets. And here are the latest plans for public sector net borrowing. There are three key points to highlight.

- First, fiscal consolidation has started. Black lines are **outturns** and show that borrowing has declined from around 5 per cent of GDP between 2022-23 and 2024-25, to 4.4 per cent of GDP in 2025-26.

- Second, however, **near-term** borrowing is more than was expected in November 2025. Borrowing between 2026-27 and 2028-29 is now forecast to be around 0.5 per cent of GDP higher on average than forecast in November 2025.

- Third, what about the **medium term**?

    - As you can see from how the green and yellow lines converge, the fiscal plans set out in this Parliament all ultimately aimed for borrowing to fall to about 2 per cent of GDP by the end of the forecasts. The plan set out at this Budget also reaches that level by 2029-30 and stays at just below that level to 2031-32.

    - Now, the government has not published detailed spending plans for each of those final three years. Instead it sets assumptions for the path of overall spending. These assumptions, after taking into account areas of protected spending such as health, defence and core schools, imply that

real terms day-to-day spending in unprotected departments would fall by 2.6% in each of the final three years of the forecast. We have set out fuller analysis of this in the EFO.

- And as the right-hand chart shows, delivery of this consolidation would be enough to just stabilise debt (PSND ex BoE) at around 94% of GDP. But this would remain high by historical and international standards.

Fiscal rules

- What do these plans then mean for the Government's performance against its fiscal rules?
- First, we look at the fiscal mandate for the current budget to be in surplus in 2029-30:
  - the black line is the forecast path of the current budget.
  - the target year is 29/30 which is the vertical dotted line and the red dot is at zero in that year.
  - so this shows you the fiscal rule is met on the central forecast and this gap (between dot and black line in 29/30) is £15bn.
- Now for the supplementary rule – through which the government must ensure that Public Sector Net Financial Liabilities is falling in 2029-30:
  - The dot is the previous year's figure and the gap shows it's falling by £24bn.
- These are small margins – with the one against the fiscal mandate being below the average post-pandemic revision in pre-measures borrowing in the third year of the forecast. And there remains significant uncertainty, as we show through these fan charts.
- As you can see, the bands are wide which show that outcomes significantly higher or lower than our central forecast are quite likely. The probability of meeting the fiscal mandate is now 56% and the

probability of meeting the supplementary target is now 54%. These are broadly unchanged from last year.

Risks

- Most of this presentation relates to our central forecast but there are significant risks and uncertainties around this which we discuss extensively in the EFO.
- In terms of economic and fiscal risks, we have the following:
    - Economic: energy prices, productivity growth, labour market outlook
    - Fiscal: debt servicing costs, departmental spending, welfare spending.

Summary

- Challenging fiscal background…
    - Government debt at elevated levels
    - Since March, higher energy prices and interest rates
- Economic forecast:
    - 2027 GDP growth lowered to 1%
    - 2027 CPI inflation higher at 3½%
    - But inflation falls and growth recovers in medium-term
- Fiscal forecast:
    - Near-term pace of consolidation slows
    - Fiscal rules forecast to be met in 2029-30: Current budget in surplus by £15bn, with probability of 56%; PSNFL falling by £24bn, with probability of 54%.
    - Plans would stabilise debt but still at elevated levels
    - Wide range of upside and downside risks